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KSE-100 V

170,425.62

▼ 0.20% Mon ·
-339.60 pts

S&P 500 V

▼ 0.77%

Nasdaq -0.92% ·
Dow -0.70%

US 10Y / 2Y V

5.21 / 4.94

19-yr high ·
hawkish Fed

BRENT / WTI V

\$105.28 / \$92.60

▲ on Hormuz risk
premium

GOLD V

\$4,148.69

-3.19% · silver
\$61.53 (-4.31%)

USD/PKR V

277.15

interbank · rupee
firms marginally

01 Five Things You Need To Know To Start Your Day

KSE-100 GIVES BACK EARLY GAINS

The **KSE-100** opened the week firmer — up as much as 273.36 points to 171,038.58 by mid-morning — before profit-taking and renewed Middle East jitters dragged it to an intraday low of 170,120.50 and a close of **170,425.62, down 339.60 points (-0.20%)**. Volume eased to 421.01 million shares (from 482.76 million) on traded value of Rs17.74 billion (from Rs19.28 billion), with decliners outnumbering advancers 267 to 181 (48 unchanged) across 496 names. Selling was broad-based across automobile assemblers, cement, commercial banks, fertiliser, E&P and OMCs, with index heavyweights HUBCO, MARI, OGDC, PPL, PSO and HBL all trading in the red as the oil-driven inflation scare offset earlier optimism around the IMF's fourth EFF review. [Business Recorder](#) and [The Express Tribune](#) confirm the print. Sentiment: **range-bound, giving back early gains**.

WALL STREET OPENS THE WEEK LOWER

US equities fell broadly on Monday as resurgent US-Iran tensions lifted oil and Treasury yields jumped into a data-heavy week: the **S&P 500 dropped 0.77% to 7,683.69**, the **Dow fell 347 points (-0.70%) to 51,481.51**, and the **Nasdaq Composite lost 0.92% to 26,820.38**. [Yahoo Finance](#) and [TheStreet](#) confirm the closes. Sentiment: **broadly weaker to start the week**.

10-YEAR YIELD EXTENDS TO A FRESH 19-YEAR HIGH

The **10-year Treasury yield rose to roughly 5.21%** on Monday, its highest since 2007, while the **2-year climbed to about 4.94%**, its richest level since May 2024, as hawkish commentary from New York Fed President John Williams and Philadelphia Fed President Anna Paulson kept markets pricing close to a 70% chance of another quarter-point hike at the 28 October FOMC meeting under Chair Kevin Warsh. The move came alongside a record-weak final University of Michigan sentiment reading of 48.1 and one-year inflation expectations of 4.6%. [Babypips](#) and [CNBC](#) confirm the levels. Sentiment: **hawkish, multi-decade high**.

OIL REBOUNDS AS TRUMP REJECTS IRAN'S HORMUZ OFFER

Brent settled Monday at \$105.28 (after trading as high as \$108.83) and **WTI at \$92.60** (intraday high \$96.54), both climbing roughly 2-3% on the session after President Trump confirmed he had rejected Tehran's latest proposal to reopen the Strait of Hormuz, reviving the Middle East risk premium just as OPEC+'s seven core members agreed on 6 September to hold October output at September levels. [CNBC](#) and [Trading Economics](#) confirm. Sentiment: **volatile, geopolitically driven**.

Gold slid 3.19% to \$4,148.69 and **silver dropped 4.31% to \$61.53** on Monday — a seven-week low for gold — as the fresh oil-driven inflation scare hardened Fed rate-hike bets and lifted Treasury yields, overwhelming any safe-haven bid from Middle East tension. [USAGOLD](#) and [Kitco](#) confirm the closes. Sentiment: **sharply weaker on rate-hike bets**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's tape opened the week constructively before fading: the **KSE-100** shed 0.20% to 170,425.62 as selling in autos, cement, banks, fertiliser, E&P and OMCs offset an early rally, with breadth turning negative (267 decliners vs 181 advancers). The macro backdrop stays cautiously supportive — the **SBP held its policy rate at 11.5%** for a third consecutive meeting on 14 September, even as **CPI inflation returned to double digits at 11.1% YoY in August** (from 9.2% in July), per [Business Recorder](#) and the [Pakistan Bureau of Statistics](#). The **IMF** has begun its fourth EFF review and third RSF review, with roughly \$1.1bn (SDR 760m plus SDR 153.8m) riding on the government meeting six of seven quantitative targets and finalising the **Sovereign Wealth Fund (Amendment) Bill** now before the Senate Standing Committee on Finance.

B. GCC & Middle East

GCC markets remain anchored by a firmer oil tape and a resilient non-oil economy: **Brent's rebound toward \$105** on renewed Hormuz risk follows OPEC+'s 6 September decision by its seven core members to hold October output at September levels, having already unwound the 1.65mn bpd voluntary-cut tranche (a further 2mn bpd 2022-vintage cut stays in place through year-end), per [EnergyConnects](#). Non-oil momentum stayed solid into August, with **Saudi Arabia's PMI at 53.8** (a six-month high) and the **UAE's at 55.3** — its fastest pace since late 2024 — per [Arab News](#) and [Gulf Today](#). Saudi's **PIF** kept up its Vision 2030 deployment pace through September, launching the Tawrid supply-chain financing platform, unveiling CEER's flagship vehicles, and standing up the Gulf Coast Development Company in Al-Khafji, per [PIF](#).

C. Global Intelligence

Global markets opened the week on the back foot: US equities fell broadly (S&P -0.77%, Nasdaq -0.92%, Dow -0.70%) as the **10-year Treasury yield hit a fresh 19-year high near 5.21%** and the 2-year touched 4.94%, with markets pricing roughly 70% odds of another Fed hike on 28 October under Chair Kevin Warsh amid a record-weak University of Michigan sentiment print of 48.1. Fiscal risk was defused for now — President Trump signed a stopgap funding bill on 2 September that funds the government through **11 December**, averting the shutdown that would otherwise have begun 1 October, per [Breaking Defense](#) — but the underlying driver of Monday's selloff was oil: Brent's jump toward \$105 after Trump rejected Iran's Hormuz proposal revived inflation fears just as the Fed leans hawkish.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Sovereign Wealth Fund (Amendment) Bill, 2026 — tabled in the Senate, referred to the Standing Committee on Finance & Revenue; tightens SOE governance, disclosure and competitive-procurement rules ahead of the IMF's 4th EFF/3rd RSF review	Sovereign Wealth Fund, state-owned banks & enterprises	Wins: governance/transparency advocates, IMF programme credibility, eventual \$1.1bn tranche unlock. Losses: officials losing discretionary control over SOE asset transfers; ministries facing tighter oversight.
GCC — Saudi Arabia / UAE	15% Pillar Two Domestic Minimum Top-Up Tax rollout across all six GCC states, alongside UAE Cabinet Decision No. 17 of 2026 amending tax-procedure executive regulations (effective 1 April 2026)	Large multinationals, free-zone entities, holding companies	Wins: GCC treasuries (broader, OECD-aligned tax base; reduced reputational risk of being a low-tax jurisdiction). Losses: in-scope multinational groups with GCC hubs face higher effective tax rates and heavier compliance costs.
Global — United States	Stopgap funding bill signed 2 September funds the federal government through 11 December 2026 , averting the 1 October shutdown; Fed under Chair Kevin Warsh signals continued tightening bias into the 28 October FOMC	Federal contractors & agencies, rate-sensitive equities, Treasuries	Wins: federal contractors and agencies gain near-term funding certainty. Losses: duration-sensitive and growth equities face another likely hike; the fiscal cliff is deferred to December, not resolved.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

169,500

just below Monday's intraday low of 170,120.50; deeper support at 168,000

PIVOT EST.

170,425

Monday's close

RESISTANCE EST.

171,150

Monday's intraday high of 171,126.52; then the week's earlier high near 171,159.73

The desk reads Monday's action as a **risk-off pivot driven by oil and rates, not a local growth story** — the KSE-100's 0.20% dip came on broad but orderly selling, with SBP's steady 11.5% policy rate and progress on the IMF's fourth EFF review still net-supportive of the local bull case. The bigger swing factor into Tuesday is external: a Hormuz-driven oil spike toward \$105 Brent, a fresh 19-year high in the 10-year Treasury near 5.21%, and a hawkish Fed under Chair Warsh are compressing risk appetite globally, and gold/silver's sharp 3-4% slide shows even safe havens aren't immune to a rate shock. We'd watch **169,500** as first support (deeper at 168,000) and **171,150** as the level to reclaim before calling the pullback over, with **170,425** as the pivot. All levels are indicative desk estimates, not recommendations.

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